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KIRIBATI

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STAFF REPORT FOR THE 2014 ARTICLE IV CONSULTATION—DEBT SUSTAINABILITY ANALYSIS[1]

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Prepared by the Staff of the International Monetary Fund and the World Bank.

Kiribati continues to be at high risk of debt distress according to this update of the debt sustainability analysis (DSA)[2]. Although unusually high fishing license fees improved the fiscal position recently, containing the risk of debt distress will require prudent financing by continuing to secure grants to support the country's large development needs, and implementing fiscal and structural reform agenda that would ensure fiscal sustainability and raise long-term growth. In particular,, it is important to pursue fiscal consolidation by continuing to contain and improve quality of expenditures, as well as through revenue enhancing measures.

Background

Kiribati is one of the most remote Pacific microstate consisting of quite dispersed 31 islands. The export and production bases are narrow and limited to copra, seaweed and fishing. The revenue base is very volatile, with fishing license fees making up about 60 percent of government revenues during 2003–13. Kiribati's sovereign wealth fund—the Revenue Equalization Reserve Fund (RERF)—is a major source of financing and a cushion against risks. Climate change and pressures on infrastructure raise additional challenges. The country relies heavily on foreign aid to finance its large development needs.

[1] The DSA has been produced in consultation with the Asian Development Bank (AsDB). This DSA is based on the common standard LIC DSA framework. Under the Country Policy and Institutional Assessment (CPIA), Kiribati is rated as a weak performer, and the DSA uses the indicative threshold indicators on the external public debt for countries in this category: 30 percent for the present value (PV) of debt-to-GDP ratio; 100 percent for the PV of debt-to exports ratio; 200 percent for the PV of debt-to-revenue ratio; 15 percent for the debt service-to-exports ratio; and 18 percent for the debt service-to-revenue ratio.

[2] The results of the current debt sustainability analysis remain in line with the 2013 DSA. The DSA analysis shows that as a result the expected debt build-up the sizable and protracted breach of DSA thresholds is likely in 2020s. The main changes in assumptions are an increase in the discount rate (from 3 to 5 percent) according to the new DSA guidance, inclusion of the scenario with higher fishing license revenues; higher realized fishing license fees in 2013, and higher projected disbursements from donors to support the ongoing reform program and address large infrastructure needs. Despite increase in the nominal debt, the NPV of debt remains at the levels similar to 2013 DSA.

Although fiscal accounts improved in the last two years mainly due to unusually high fishing license fees revenue, such fees remain volatile and Kiribati continues to face the challenge of reducing structural fiscal imbalances. Large overall fiscal deficits over the last decade (about 13 percent of GDP on average) have resulted in substantial drawdowns of the RERF—the main source of deficit financing.[3] The RERF assets dropped to 380 percent of GDP in 2013 from 565 percent of GDP in 2000.

As of end-2013, public domestic debt accounted for 4⅔ percent of GDP, while gross public external debt is estimated at about 8⅓ percent of GDP. Domestic debt includes the publicly guaranteed debt of the state-owned enterprises (SOEs). As of end-2013, all external public debt consisted of concessional loans.

The medium-term macroeconomic outlook points to moderate growth. The economy is estimated to have grown by about 2.9 percent in 2013. Donor-financed road and airport projects are expected to continue supporting growth and construction activities over the medium term. Kiribati continues to be vulnerable to external shocks from volatile fishing license revenues, and from financial exposure of its sovereign wealth fund and pension fund.

The Baseline Scenario

The baseline scenario incorporates government reform plans and assumes projections for fishing license fees based on historical averages. The assumptions of this DSA are: (The macroeconomic assumptions underlying the baseline scenario are presented in Box 1.) These projections imply that the fiscal deficit would exceed 25 percent of GDP in 2014 and gradually decline to about 14 by 2030, reflecting government commitment to reforms. It is assumed that the deficit will be partially financed by US$6–12 million of external loans each year in the medium term and about US$15 million each year in the longer term to finance large infrastructure and other development needs, as well as to address the adverse impact of climate change. The remaining financing gap is met through drawdowns of the RERF, without additional domestic borrowing. Annual drawdown from the RERF is projected to be 12¾ percent of GDP on average in the medium term and about 12 percent of GDP on average during 2020–34. As a result, the RERF real per capita balance will continue to decline.

External Debt Sustainability Analysis

The external DSA indicates Kiribati is at high risk of debt distress, in line with the conclusion of the previous DSA from the 2013 Article IV consultation. The present value (PV) of external debt increases significantly due to loan disbursements. There is a sizable and protracted breach of the PV of debt-to-exports ratio threshold and of the PV of the debt to GDP ratio around 2026. (The exports and revenues related to exports decline as a ratio to GDP because the economy growth outpaces the growth of fishing licenses, which comprise the main share of exports.) The PV of

[3] The RERF is a wealth fund established in 1956 and was capitalized using phosphate mining proceeds before phosphate deposits were exhausted in 1979.

external debt-to-GDP ratio will increase from 5⅓ percent of GDP in 2013 to 30 percent of GDP in 2026, and reach over 100 percent of exports starting from 2026.

Box 1. Macroeconomic Assumptions Under the Baseline Scenario

- GDP growth and population. The economy is expected to grow at about 2½ percent in the medium term (until 2019), supported by donor-financed projects. Over the longer term (until 2034 and thereafter) the growth will moderate to 1.9 percent. Population growth is expected to moderate somewhat from 2.2 percent in 2011 to 1.8 percent in the long run.

- Fishing license fees revenue are projected conservatively at around A$42 million in 2014 and to remain constant in real terms.[1.]

- With the completion of major grant-financed infrastructure projects, aid flows in the form of grants are expected to decline gradually from 44 percent of GDP in 2014 to around 22 percent of GDP in 2019 and to about 20 percent in the longer term, assuming that the government's implementation of reforms encourages continuing support from the main donors (AusAID, New Zealand AID, Japan, and Taiwan Province of China).[2] Access to the IDA-type grant financing is expected to be about US$25 million per year during 2014–15 to finance both budget support and large infrastructure projects, including road rehabilitation, airport improvement, and others.

- New external loan disbursements are assumed to average about 5 percent of GDP over the medium and long terms. Government is expected to access multilateral financing with IDA-like terms at the level of about US$8 million by 2017, increasing gradually to US$10 million annually by 2020. In addition other bilateral concessional loans are expected to provide financing for US$2–5 million a year. These loans and other investments will be needed to support large development needs in infrastructure, health and education, as well as to adapt to the adverse impact of climate change.[3]

- FDI flows experienced a substantial increase in 2013 because of the additional investments in the fishing joint venture. Thereafter they will continue at a positive level of about ½ percent of GDP per year reflecting additional investment in fishing and marine sectors as a result of the reforms.

- The overall fiscal deficit will be reduced gradually to around 17 percent of GDP by 2019 and to 14 percent of GDP in the long run, reflecting the government's commitment to reforms. The RERF drawdowns would be reduced correspondingly. Nevertheless, the RERF per capita value in real terms would not stabilize and would decline substantially by 2034 compared to the 2011 level. (The nominal rate of the annual return on RERF is assumed to be 5⅓ percent in the long term.)

- The current account deficit will narrow in the medium term, reflecting a decrease in the fiscal deficit. The trade deficit follows a similar trend.

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[1] The average of fishing license fees over 2000–10 was $41.6 million.

[2] The RERF is invested in the mix of equities and bonds. The long run average historical return on RERF over 2003–13 was 5.2 percent.

[3] The long-run amount of grants is assumed somewhat lower than in the 2013 DSA, reflecting larger front loading of infrastructure projects based latest information.

Stress tests indicate that the country's debt path is vulnerable to shocks to financing terms and to exports. The PV of debt to export ratio and the PV of debt to GDP ratio thresholds are breached under the extreme stress test scenario, including a scenario which assumes the interest rate on new borrowing is 200 basis points higher than in the baseline.[4]

Public Debt Sustainability Analysis

Public debt analysis paints a similar picture. Under the baseline scenario, the PV of total public debt is projected to increase to above 30 percent of GDP by 2026, driven mainly by external borrowings. Public debt sustainability is vulnerable to shocks as well. Under the most extreme stress test scenario—real GDP growth being one standard deviation, temporarily lower in the next two years—the PV of debt reaches about 55 percent of GDP by 2024 and 77 percent of GDP by 2034, breaching the threshold of 40 percent in 2020.

High Fishing License Fees and RERF Stabilization Scenario

The high fishing license fee scenario considers a situation where the high level of fishing license fees observed in 2012–13 will continue in the future, and additional measures to contain expenditure in the longer run. Under this scenario it would be possible to stabilize the real per capita value of the RERF at about A$4500 in 2034 and the debt distress level is still at high risk.

This scenario assumes that fishing license fees will be A$60 million in 2014 and growing at 2½ percent afterwards. Current government expenditure follows similar path to the baseline scenario, declining to 51 percent of GDP by 2023 and 45½ percent by 2030. The rest of the assumptions are identical to the baseline scenario. In the medium term, fishing license fees will be around 30 percent of GDP compared to 20 percent of GDP in the baseline scenario. In the long run this revenue will be about 25 percent of GDP compared with the 17 percent of GDP under the baseline scenario. The likelihood of having high fishing license fees revenues depends on the continuity of the current fishing license scheme implemented by PNA and the catch volume, which is dependent on the migratory patterns of fish stocks.

Nevertheless, in the high fishing license fee scenario, the PV of total public debt is projected to increase to around 35 percent of GDP over the long term as loan disbursements will still be needed to support large infrastructure needs, Therefore under this scenario Kiribati will continue to be at high risk of debt distress. The low response of the PV debt-to-GDP ratio is explained in part by the fact that fishery companies that purchase the fishing license have limited integration in the domestic economy. While the PV of external debt-to-GDP also presents similar levels as in the baseline scenario, the external debt-to-exports improves and stays far below the threshold[5].

[4] As a measure of sustainability, fishing license fees are included in the export ratio.

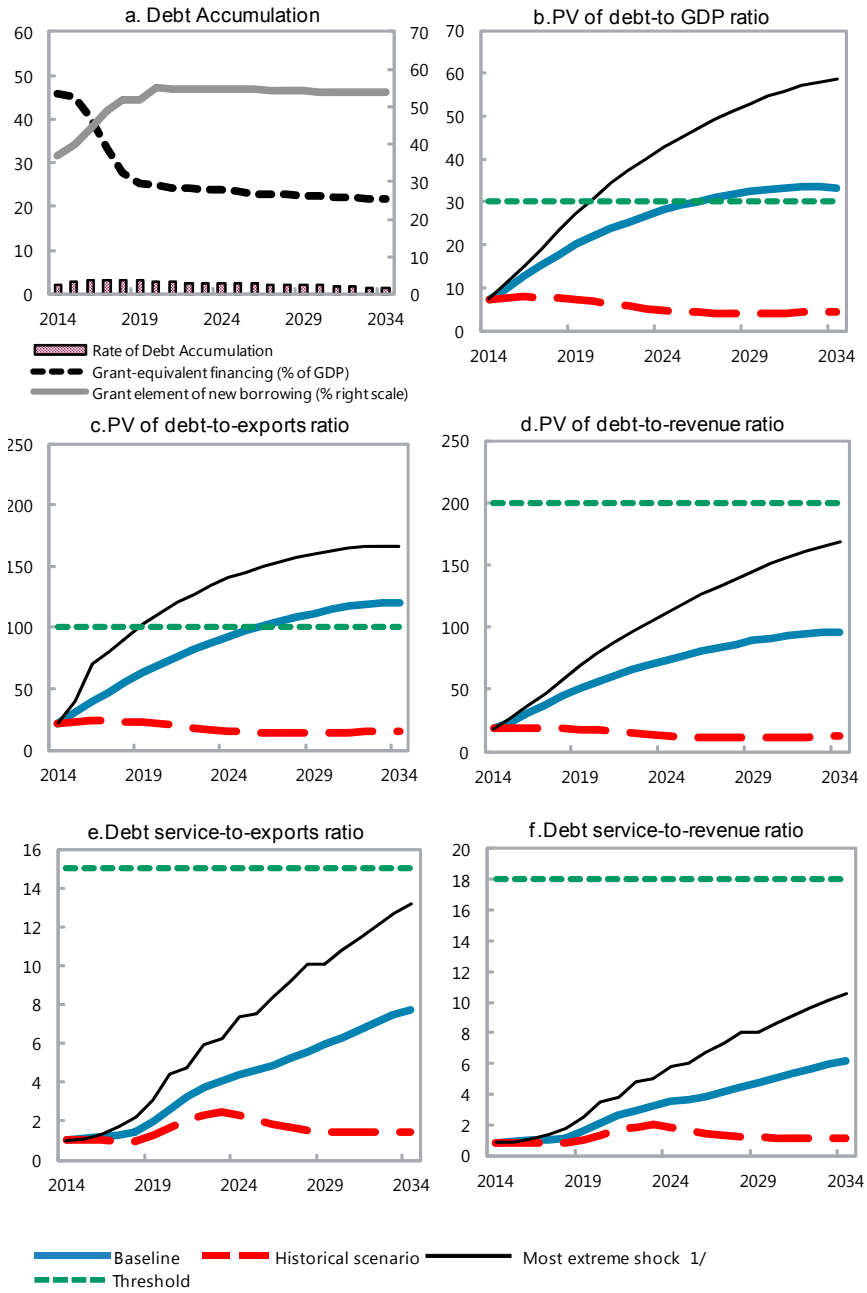
[5] Fishing license fees are included in the denominator of the ratio as they contribute to generate inflows that can be used to pay debt service.

Conclusions

Kiribati continues to be at high risk of debt distress. To narrow fiscal imbalances and stabilize the real per capita RERF value in the context of pressing capital investment needs, it is imperative for the authorities to pursue fiscal consolidation through revenue measures and improving the quality of expenditure. Structural reforms to improve the business climate and promoting private sector growth are also critical to reduce the fiscal burden.

The authorities broadly agreed with this assessment. They indicated the commitment to preserving the value of the RERF through the fiscal and structural reform programs supported by the donor community. The government has recently introduced value added and excise taxes and is keen to improve tax administration. They are also committed to controlling expenditure by reforming SOEs and rationalizing the administrative costs and public wages.

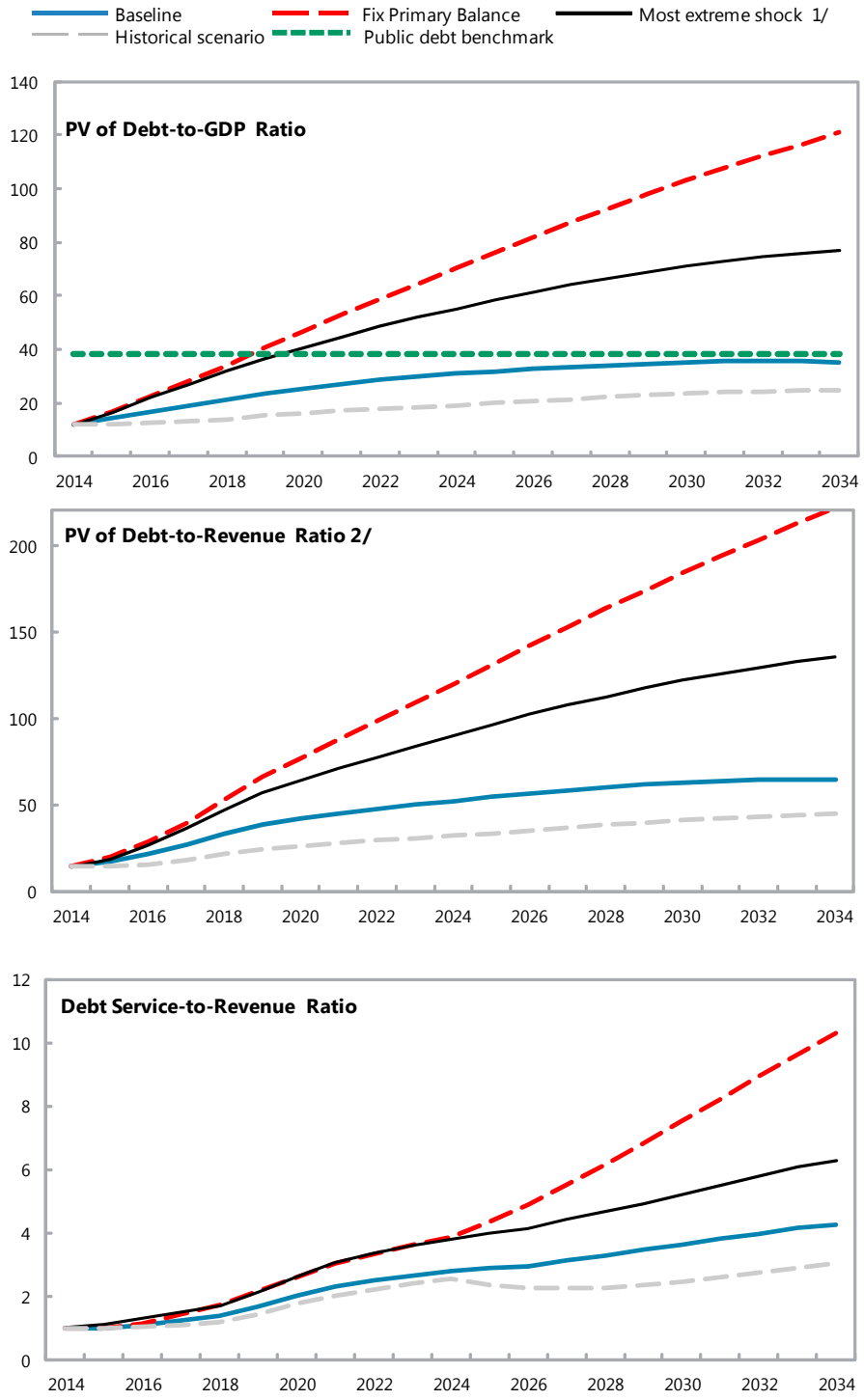
Figure 1. Kiribati: Indicators of Public and Publicly Guaranteed External Debt Under Alternatives Scenarios, 2014–34 1/



Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio on or before 2024. In figure b. it corresponds to a loan terms shock; in c. to a Exports shock; in d. to a loan terms shock; in e. to a loan terms shock and in figure f. to a loan terms shock.

Figure 2. Kiribati: Indicators of Public Debt Under Alternative Scenarios, 2014–34 1/



Sources: Country authorities; and staff estimates and projections.
1/ The most extreme stress test is the test that yields the highest ratio on or before 2024.
2/ Revenues are defined inclusive of grants.

Table 1. Kiribati: Public Sector Debt Sustainability Framework, Baseline Scenario, 2011–2034

(In percent of GDP, unless otherwise indicated)

	Actual					Estimate						Projections			
	2011	2012	2013	Average 5/	Standard Deviation 5/	2014	2015	2016	2017	2018	2019	2014-19 Average	2024	2034	2020-34 Average
Public sector debt 1/	29.2	11.6	13.3			15.9	19.9	24.1	28.4	33.2	37.8		53.3	62.3	
of which: foreign-currency denominated	8.4	8.0	8.6			11.4	15.6	20.1	24.6	29.6	34.3		50.5	60.5	
Change in public sector debt	-2.9	-17.5	1.7			2.6	4.0	4.2	4.3	4.8	4.6		2.4	-0.3	
Identified debt-creating flows	20.4	6.2	-9.4			25.3	19.7	18.7	17.9	17.5	16.1		13.8	10.9	
Primary deficit	19.1	6.3	-10.9	9.9	9.4	25.2	19.7	18.8	18.1	17.8	16.4	19.4	15.2	13.5	14.8
Revenue and grants	62.0	90.4	112.9			83.9	84.1	78.9	70.9	64.6	62.0		58.9	54.4	
of which: grants	25.0	36.4	43.0			44.8	43.2	38.4	30.8	24.7	22.3		20.9	19.5	
Primary (noninterest) expenditure	81.2	96.7	102.0			109.1	103.9	97.7	89.1	82.5	78.4		74.1	68.0	
Automatic debt dynamics	1.3	-0.1	1.4			0.1	0.0	-0.1	-0.3	-0.4	-0.3		-1.3	-2.0	
Contribution from interest rate/growth differential	1.3	-0.1	0.1			0.0	-0.1	-0.2	-0.4	-0.5	-0.5		-1.1	-1.6	
of which: contribution from average real interest rate	2.1	0.7	0.4			0.3	0.3	0.2	0.2	0.1	0.2		-0.1	-0.5	
of which: contribution from real GDP growth	-0.9	-0.8	-0.3			-0.4	-0.4	-0.5	-0.6	-0.6	-0.7		-0.9	-1.2	
Contribution from real exchange rate depreciation	0.0	0.0	1.3			0.1	0.1	0.1	0.1	0.1	0.2		...	...	
Other identified debt-creating flows	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	-0.7	
Privatization receipts (negative)	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	-0.7	
Recognition of implicit or contingent liabilities	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Debt relief (HIPC and other)	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Other (specify, e.g. bank recapitalization)	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Residual, including asset changes	-23.3	-23.7	11.1			-22.7	-15.8	-14.4	-13.5	-12.6	-11.6		-11.5	-11.2	
Other Sustainability Indicators															
PV of public sector debt	...	...	10.1			11.8	14.1	16.6	18.9	21.4	23.7		30.8	35.2	
of which: foreign-currency denominated	...	...	5.4			7.3	9.9	12.6	15.1	17.7	20.2		28.0	33.4	
of which: external	...	...	5.4			7.3	9.9	12.6	15.1	17.7	20.2		28.0	33.4	
PV of contingent liabilities (not included in public sector debt)	...	...	...			...	...	...	...	...	...		...	...	
Gross financing need 2/	21.5	7.0	-10.0			26.1	20.6	19.7	19.0	18.7	17.4		16.8	15.8	
PV of public sector debt-to-revenue and grants ratio (in percent)	...	...	9.0			14.0	16.8	21.0	26.7	33.1	38.2		52.2	64.6	
PV of public sector debt-to-revenue ratio (in percent)	...	...	14.5			30.0	34.6	41.0	47.1	53.6	59.7		80.9	100.8	
of which: external 3/	...	...	7.7			18.6	24.2	31.1	37.5	44.4	50.9		73.5	95.6	
Debt service-to-revenue and grants ratio (in percent) 4/	3.7	0.7	0.7			1.0	1.0	1.1	1.2	1.4	1.7		2.8	4.3	
Debt service-to-revenue ratio (in percent) 4/	6.3	1.2	1.2			2.1	2.1	2.1	2.2	2.2	2.6		4.3	6.7	
Primary deficit that stabilizes the debt-to-GDP ratio	22.0	23.9	-12.6			22.7	15.8	14.6	13.8	13.0	11.8		12.8	13.8	
Key macroeconomic and fiscal assumptions															
Real GDP growth (in percent)	2.7	2.8	2.9	1.6	3.2	3.0	2.7	2.5	2.4	2.3	2.1	2.5	1.9	1.9	1.9
Average nominal interest rate on forex debt (in percent)	0.8	0.9	1.2	0.9	0.1	1.1	1.1	1.1	1.0	1.0	1.5	1.1	1.1	0.9	1.1
Average real interest rate on domestic debt (in percent)	10.7	3.5	12.8	10.0	4.8	8.6	8.7	8.9	9.0	9.1	9.3	8.9	8.2	7.0	7.5
Real exchange rate depreciation (in percent, + indicates depreciation	0.0	-0.2	17.2	0.3	13.6	1.2	...	...	...	...	...	...	...	...	...
Inflation rate (GDP deflator, in percent)	-0.8	-1.7	0.8	0.8	2.9	2.5	2.5	2.5	2.5	2.5	2.5	2.5	2.5	2.5	2.5
Growth of real primary spending (deflated by GDP deflator, in percer	0.7	22.6	8.5	4.5	8.5	10.1	-2.2	-3.6	-6.6	-5.3	-2.8	-1.7	1.0	1.1	0.9
Grant element of new external borrowing (in percent)	...	...	...	...	...	36.9	40.0	43.8	49.1	51.7	51.7	45.5	54.7	54.0	...

Sources: Country authorities; and staff estimates and projections.

1/ Gross public sector debt

2/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period.

3/ Revenues excluding grants.

4/ Debt service is defined as the sum of interest and amortization of medium and long-term debt.

5/ Historical averages and standard deviations are generally derived over the past 10 years, subject to data availability.

6/ Includes RERF financing. For 2014-16 also includes expected donor budget support.

Table 2. Kiribati: Sensitivity Analysis for Key Indicators of Public Debt 2014–34

	Projections							
	2014	2015	2016	2017	2018	2019	2024	2034
PV of Debt-to-GDP Ratio								
Baseline	12	14	17	19	21	24	31	35
A. Alternative scenarios								
A1. Real GDP growth and primary balance are at historical averages	12	12	12	13	14	15	19	25
A2. Primary balance is unchanged from 2014	12	17	22	28	34	41	70	121
A3. Permanently lower GDP growth 1/	12	14	17	21	24	28	44	81
B. Bound tests								
B1. Real GDP growth is at historical average minus one standard deviations in 2015-20	12	16	22	27	32	37	55	77
B2. Primary balance is at historical average minus one standard deviations in 2015-201	12	14	16	18	21	23	30	35
B3. Combination of B1-B2 using one half standard deviation shocks	12	13	14	18	22	26	39	55
B4. One-time 30 percent real depreciation in 2015	12	17	18	19	21	22	25	25
B5. 10 percent of GDP increase in other debt-creating flows in 2015	12	19	21	24	26	29	36	39
PV of Debt-to-Revenue Ratio 2/								
Baseline	14	17	21	27	33	38	52	65
A. Alternative scenarios								
A1. Real GDP growth and primary balance are at historical averages	14	14	16	18	21	24	32	44
A2. Primary balance is unchanged from 2014	14	20	28	40	53	66	120	222
A3. Permanently lower GDP growth 1/	14	17	22	29	37	44	73	139
B. Bound tests								
B1. Real GDP growth is at historical average minus one standard deviations in 2015-20	14	19	26	36	47	57	90	135
B2. Primary balance is at historical average minus one standard deviations in 2015-201	14	16	20	26	32	37	51	64
B3. Combination of B1-B2 using one half standard deviation shocks	14	15	17	25	33	40	65	98
B4. One-time 30 percent real depreciation in 2015	14	20	23	27	32	36	42	46
B5. 10 percent of GDP increase in other debt-creating flows in 2015	14	23	27	33	41	46	60	71
Debt Service-to-Revenue Ratio 2/								
Baseline	1	1	1	1	1	2	3	4
A. Alternative scenarios								
A1. Real GDP growth and primary balance are at historical averages	1	1	1	1	1	1	3	3
A2. Primary balance is unchanged from 2014	1	1	1	1	2	2	4	10
A3. Permanently lower GDP growth 1/	1	1	1	1	1	2	3	7
B. Bound tests								
B1. Real GDP growth is at historical average minus one standard deviations in 2015-20	1	1	1	1	2	2	4	7
B2. Primary balance is at historical average minus one standard deviations in 2015-201	1	1	1	1	1	2	3	4
B3. Combination of B1-B2 using one half standard deviation shocks	1	1	1	1	1	2	3	6
B4. One-time 30 percent real depreciation in 2015	1	1	1	1	2	2	4	6
B5. 10 percent of GDP increase in other debt-creating flows in 2015	1	1	1	1	1	2	3	5

Sources: Country authorities; and staff estimates and projections.
1/ Assumes that real GDP growth is at baseline minus one standard deviation divided by the square root of the length of the projection period.
2/ Revenues are defined inclusive of grants.

Table 3a. Kiribati: External Debt Sustainability Framework, Baseline Scenario, 2011–34 1/

(In percent of GDP, unless otherwise indicated)

	Actual			Historical 6/ Average	Standard 6/ Deviation	Projections									
	2011	2012	2013			2014	2015	2016	2017	2018	2019	2014-2019 Average	2024	2034	2020-2034 Average
External debt (nominal) 1/	**8.4**	**8.0**	**8.6**			**11.4**	**15.6**	**20.1**	**24.6**	**29.6**	**34.3**		**50.5**	**60.5**	
of which: public and publicly guaranteed (PPG)	8.4	8.0	8.6			11.4	15.6	20.1	24.6	29.6	34.3		50.5	60.5	
Change in external debt	-2.9	-0.4	0.7			2.8	4.2	4.4	4.5	5.0	4.7		2.5	-0.2	
Identified net debt-creating flows	30.6	25.4	22.5			52.5	52.4	48.3	40.2	34.3	30.5		31.4	31.4	
Non-interest current account deficit	**32.2**	**26.2**	**27.3**	**24.3**	**6.8**	**53.3**	**53.3**	**49.2**	**41.1**	**35.1**	**31.3**		**32.5**	**33.2**	32.6
Deficit in balance of goods and services	65.4	65.0	49.3			77.4	75.2	69.8	62.2	55.0	50.1		47.8	44.7	
Exports	29.7	45.3	61.0			33.4	33.0	32.6	32.4	32.1	32.0		30.4	27.8	
Imports	95.1	110.2	110.3			110.8	108.2	102.4	94.6	87.1	82.1		78.2	72.5	
Net current transfers (negative = inflow)	-16.8	-23.6	-7.5	-19.8	6.2	-11.0	-8.8	-8.3	-7.2	-6.6	-6.1		-8.8	-8.8	-8.8
of which: official	-18.8	-25.6	-9.8			-13.3	-11.2	-10.7	-9.6	-9.0	-8.6		-11.2	-11.2	
Other current account flows (negative = net inflow)	-16.4	-15.2	-14.5			-13.0	-13.1	-12.3	-14.0	-13.3	-12.7		-6.4	-2.7	
Net FDI (negative = inflow)	**-0.2**	**-0.8**	**-5.1**	**-0.8**	**1.5**	**-0.7**	**-0.7**	**-0.6**	**-0.6**	**-0.6**	**-0.5**		**-0.7**	**-1.2**	-0.9
Endogenous debt dynamics 2/	**-1.4**	**0.0**	**0.3**			**-0.2**	**-0.2**	**-0.2**	**-0.3**	**-0.3**	**-0.2**		**-0.3**	**-0.6**	
Contribution from nominal interest rate	0.1	0.1	0.1			0.1	0.1	0.2	0.2	0.2	0.4		0.5	0.5	
Contribution from real GDP growth	-0.3	-0.2	-0.2			-0.3	-0.3	-0.4	-0.5	-0.5	-0.6		-0.9	-1.1	
Contribution from price and exchange rate changes	-1.2	0.1	0.5			...	...	...	...	...	...		...	...	
Residual (3-4) 3/	**-33.5**	**-25.9**	**-21.9**			**-49.7**	**-48.2**	**-43.9**	**-35.7**	**-29.3**	**-25.8**		**-28.9**	**-31.7**	
of which: exceptional financing	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
PV of external debt 4/	...	...	5.4			7.3	9.9	12.6	15.1	17.7	20.2		28.0	33.4	
In percent of exports	...	...	8.9			21.8	30.1	38.5	46.6	55.2	63.3		92.0	120.0	
PV of PPG external debt	**...**	**...**	**5.4**			**7.3**	**9.9**	**12.6**	**15.1**	**17.7**	**20.2**		**28.0**	**33.4**	
In percent of exports	**...**	**...**	**8.9**			**21.8**	**30.1**	**38.5**	**46.6**	**55.2**	**63.3**		**92.0**	**120.0**	
In percent of government revenues	**...**	**...**	**7.7**			**18.6**	**24.2**	**31.1**	**37.5**	**44.4**	**50.9**		**73.5**	**95.6**	
Debt service-to-exports ratio (in percent)	**1.0**	**0.7**	**0.5**			**1.0**	**1.1**	**1.2**	**1.3**	**1.4**	**2.0**		**4.4**	**7.7**	
PPG debt service-to-exports ratio (in percent)	**1.0**	**0.7**	**0.5**			**1.0**	**1.1**	**1.2**	**1.3**	**1.4**	**2.0**		**4.4**	**7.7**	
PPG debt service-to-revenue ratio (in percent)	**0.8**	**0.6**	**0.5**			**0.9**	**0.9**	**1.0**	**1.0**	**1.1**	**1.6**		**3.5**	**6.2**	
Total gross financing need (Millions of U.S. dollars)	55.8	45.1	38.2			87.0	90.2	86.4	75.0	66.7	61.7		80.5	128.4	
Non-interest current account deficit that stabilizes debt ratio	35.1	26.7	26.6			50.5	49.1	44.7	36.6	30.2	26.5		30.0	33.4	
Key macroeconomic assumptions															
Real GDP growth (in percent)	2.7	2.8	2.9	1.6	3.2	3.0	2.7	2.5	2.4	2.3	2.1	2.5	1.9	1.9	1.9
GDP deflator in US dollar terms (change in percent)	11.4	-1.4	-5.7	5.2	7.8	-6.1	0.9	1.2	1.3	1.5	1.2	0.0	2.5	2.5	2.5
Effective interest rate (percent) 5/	0.8	0.9	1.2	0.8	0.2	1.1	1.1	1.1	1.0	1.0	1.5	1.1	1.1	0.9	1.1
Growth of exports of G&S (US dollar terms, in percent)	-6.2	54.3	30.8	13.7	23.0	-47.1	2.4	2.7	2.9	3.1	2.9	-5.5	3.4	3.6	3.4
Growth of imports of G&S (US dollar terms, in percent)	25.0	17.5	-2.9	9.1	16.7	-2.8	1.2	-1.8	-4.1	-4.4	-2.6	-2.4	3.6	3.7	3.5
Grant element of new public sector borrowing (in percent)	...	...	...	...	...	36.9	40.0	43.8	49.1	51.7	51.7	45.5	54.7	54.0	54.4
Government revenues (excluding grants, in percent of GDP)	37.0	54.0	69.9			39.1	40.9	40.5	40.2	39.9	39.7		38.1	34.9	37.1
Aid flows (in Millions of US dollars) 7/	43.2	63.7	73.0			79.0	81.7	77.1	66.4	58.5	55.4		63.7	88.4	
of which: Grants	43.2	63.7	73.0			73.5	73.5	67.9	56.4	47.0	43.9		50.7	73.4	
of which: Concessional loans	0.0	0.0	0.0			5.5	8.2	9.2	10.0	11.5	11.5		13.0	15.0	
Grant-equivalent financing (in percent of GDP) 8/	...	...	...			46.0	45.1	40.7	33.4	27.8	25.3		23.8	21.7	23.1
Grant-equivalent financing (in percent of external financing) 8/	...	...	...			95.6	94.0	93.3	92.3	90.5	90.0		90.8	92.2	91.0
Memorandum items:															
Nominal GDP (Millions of US dollars)	172.7	175.1	169.8			164.3	170.3	176.7	183.4	190.4	196.7		243.1	375.7	
Nominal dollar GDP growth	14.5	1.4	-3.0			-3.3	3.7	3.8	3.8	3.8	3.3	2.5	4.4	4.4	4.4
PV of PPG external debt (in Millions of US dollars)			8.5			11.9	16.8	22.1	27.5	33.6	39.6		68.0	125.3	
(PVt-PVt-1)/GDPt-1 (in percent)						2.0	3.0	3.1	3.1	3.3	3.2	2.9	2.5	1.3	2.2
Gross workers' remittances (Millions of US dollars)	11.0	10.8	10.2			9.3	9.5	9.5	9.5	9.5	9.4		13.7	21.2	
PV of PPG external debt (in percent of GDP)	...	...	5.1			6.9	9.4	11.9	14.3	16.9	19.3		26.5	31.6	
PV of PPG external debt (in percent of exports)	...	...	8.1			18.7	25.7	33.1	40.2	47.8	55.1		77.6	99.8	
Debt service of PPG external debt (in percent of exports)	...	...	0.5			0.9	0.9	1.0	1.1	1.2	1.7		3.7	6.4	

Sources: Country authorities; and staff estimates and projections.

1/ Includes both public and private sector external debt.

2/ Derived as [r - g - ρ(1+g)]/(1+g+ρ+gρ) times previous period debt ratio, with r = nominal interest rate; g = real GDP growth rate, and ρ = growth rate of GDP deflator in U.S. dollar terms.

3/ Includes exceptional financing; changes in gross foreign assets; and valuation adjustments. For projections also includes contribution from price and exchange rate changes.

The large residual is explained by changes in the RERF and capital grants not included in current transfers. These capital grants account around 30 percent of GDP, see BOP table.

4/ Assumes that PV of private sector debt is equivalent to its face value.

5/ Current-year interest payments divided by previous period debt stock.

6/ Historical averages and standard deviations are generally derived over the past 10 years, subject to data availability.

7/ Defined as grants, concessional loans, and debt relief.

8/ Grant-equivalent financing includes grants provided directly to the government and through new borrowing (difference between the face value and the PV of new debt).

Table 3b. Kiribati: Sensitivity Analysis for Key Indicators of Public and Publicly Guaranteed External Debt, 2014–34

(In percent)

	Projections							
	2014	2015	2016	2017	2018	2019	**2024**	2034
PV of debt-to GDP ratio								
Baseline	7	10	13	15	18	20	**28**	33
A. Alternative Scenarios								
A1. Key variables at their historical averages in 2014-2034 1/	7	8	8	8	7	7	**5**	4
A2. New public sector loans on less favorable terms in 2014-2034 2	7	11	15	19	23	27	**43**	59
B. Bound Tests								
B1. Real GDP growth at historical average minus one standard deviation in 2015-2016	7	10	14	16	19	22	**30**	36
B2. Export value growth at historical average minus one standard deviation in 2015-2016 3/	7	12	18	20	23	26	**33**	36
B3. US dollar GDP deflator at historical average minus one standard deviation in 2015-2016	7	10	13	16	19	22	**30**	36
B4. Net non-debt creating flows at historical average minus one standard deviation in 2015-2016 4/	7	8	9	11	14	16	**24**	32
B5. Combination of B1-B4 using one-half standard deviation shocks	7	7	6	9	11	14	**22**	32
B6. One-time 30 percent nominal depreciation relative to the baseline in 2015 5/	7	14	18	21	25	29	**40**	47
PV of debt-to-exports ratio								
Baseline	22	30	39	47	55	63	**92**	120
A. Alternative Scenarios								
A1. Key variables at their historical averages in 2014-2034 1/	22	23	24	24	23	22	**15**	16
A2. New public sector loans on less favorable terms in 2014-2034 2	22	33	46	59	72	85	**140**	211
B. Bound Tests								
B1. Real GDP growth at historical average minus one standard deviation in 2015-2016	22	30	38	46	55	63	**92**	120
B2. Export value growth at historical average minus one standard deviation in 2015-2016 3/	22	40	70	81	92	102	**140**	166
B3. US dollar GDP deflator at historical average minus one standard deviation in 2015-2016	22	30	38	46	55	63	**92**	120
B4. Net non-debt creating flows at historical average minus one standard deviation in 2015-2016 4/	22	25	27	35	43	51	**80**	114
B5. Combination of B1-B4 using one-half standard deviation shocks	22	20	18	26	34	42	**71**	109
B6. One-time 30 percent nominal depreciation relative to the baseline in 2015 5/	22	30	38	46	55	63	**92**	120
PV of debt-to-revenue ratio								
Baseline	19	24	31	38	44	51	**74**	96
A. Alternative Scenarios								
A1. Key variables at their historical averages in 2014-2034 1/	19	19	19	19	19	18	**12**	13
A2. New public sector loans on less favorable terms in 2014-2034 2	19	27	37	47	58	69	**112**	168
B. Bound Tests								
B1. Real GDP growth at historical average minus one standard deviation in 2015-2016	19	25	34	41	48	55	**80**	104
B2. Export value growth at historical average minus one standard deviation in 2015-2016 3/	19	29	44	51	58	64	**88**	103
B3. US dollar GDP deflator at historical average minus one standard deviation in 2015-2016	19	25	33	40	48	55	**79**	103
B4. Net non-debt creating flows at historical average minus one standard deviation in 2015-2016 4/	19	20	22	28	35	41	**64**	91
B5. Combination of B1-B4 using one-half standard deviation shocks	19	16	15	22	29	35	**59**	91
B6. One-time 30 percent nominal depreciation relative to the baseline in 2015 5/	19	34	44	53	63	72	**105**	136

Table 3b. Kiribati: Sensitivity Analysis for Key Indicators of Public and Publicly Guaranteed External Debt, 2014–34 (concluded)

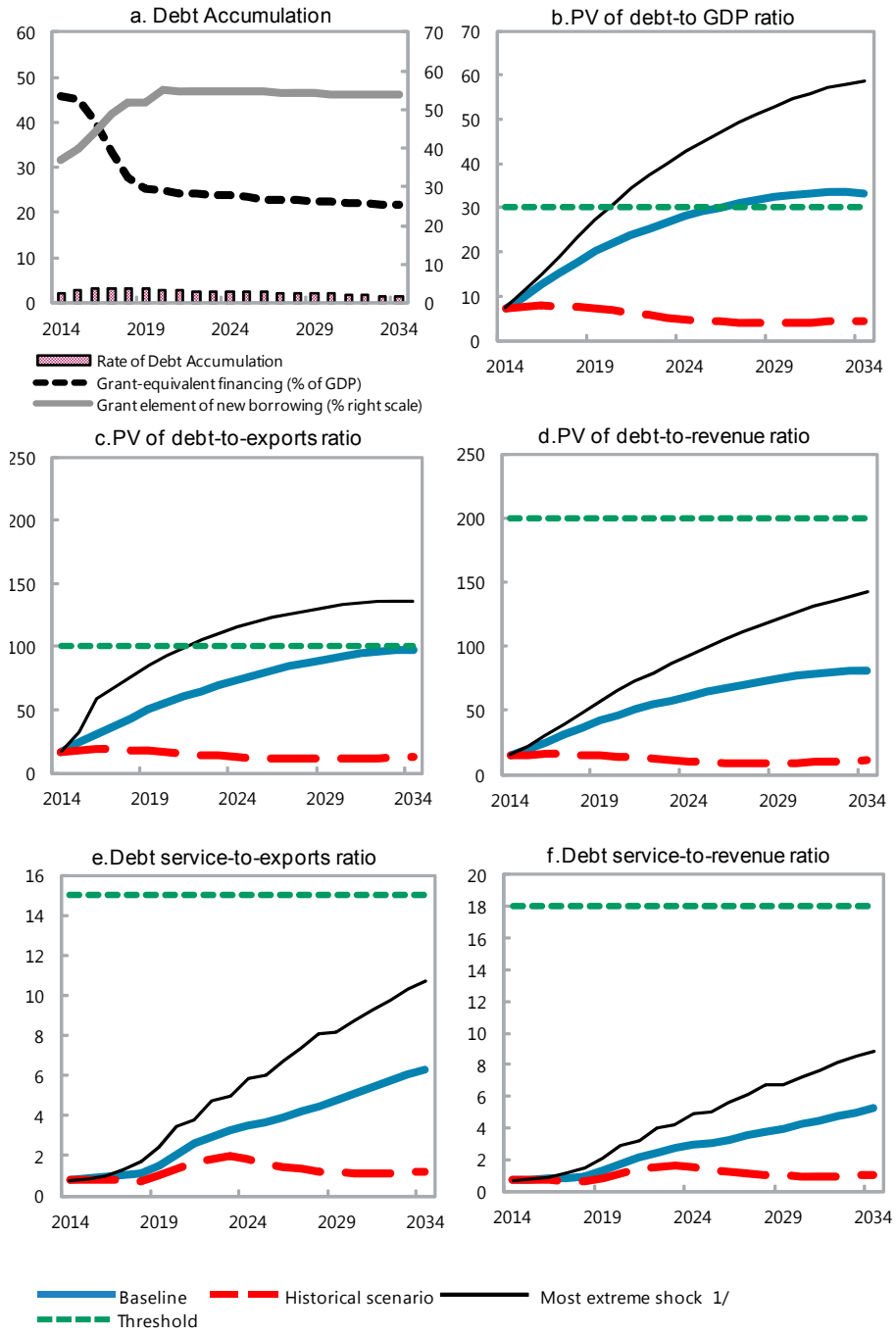
(In percent)

	Projections							
	2014	2015	2016	2017	2018	2019	**2024**	2034
Debt service-to-exports ratio								
Baseline	1	1	1	1	1	2	**4**	8
A. Alternative Scenarios								
A1. Key variables at their historical averages in 2014-2034 1/	1	1	1	1	1	1	**2**	1
A2. New public sector loans on less favorable terms in 2014-2034 2	1	1	1	2	2	3	**7**	13
B. Bound Tests								
B1. Real GDP growth at historical average minus one standard deviation in 2015-2016	1	1	1	1	1	2	**4**	8
B2. Export value growth at historical average minus one standard deviation in 2015-2016 3/	1	1	2	2	2	3	**6**	11
B3. US dollar GDP deflator at historical average minus one standard deviation in 2015-2016	1	1	1	1	1	2	**4**	8
B4. Net non-debt creating flows at historical average minus one standard deviation in 2015-2016 4/	1	1	1	1	1	2	**4**	7
B5. Combination of B1-B4 using one-half standard deviation shocks	1	1	1	1	1	2	**3**	7
B6. One-time 30 percent nominal depreciation relative to the baseline in 2015 5/	1	1	1	1	1	2	**4**	8
Debt service-to-revenue ratio								
Baseline	1	1	1	1	1	2	**3**	6
A. Alternative Scenarios								
A1. Key variables at their historical averages in 2014-2034 1/	1	1	1	1	1	1	**2**	1
A2. New public sector loans on less favorable terms in 2014-2034 2	1	1	1	1	2	2	**6**	11
B. Bound Tests								
B1. Real GDP growth at historical average minus one standard deviation in 2015-2016	1	1	1	1	1	2	**4**	7
B2. Export value growth at historical average minus one standard deviation in 2015-2016 3/	1	1	1	1	1	2	**4**	7
B3. US dollar GDP deflator at historical average minus one standard deviation in 2015-2016	1	1	1	1	1	2	**4**	7
B4. Net non-debt creating flows at historical average minus one standard deviation in 2015-2016 4/	1	1	1	1	1	1	**3**	6
B5. Combination of B1-B4 using one-half standard deviation shocks	1	1	1	1	1	1	**3**	5
B6. One-time 30 percent nominal depreciation relative to the baseline in 2015 5/	1	1	1	1	2	2	**5**	9
Memorandum item:								
Grant element assumed on residual financing (i.e., financing required above baseline) 6/	50	50	50	50	50	50	**50**	50

Sources: Country authorities; and staff estimates and projections.

1/ Variables include real GDP growth, growth of GDP deflator (in U.S. dollar terms), non-interest current account in percent of GDP, and non-debt creating flows.
2/ Assumes that the interest rate on new borrowing is by 2 percentage points higher than in the baseline., while grace and maturity periods are the same as in the
3/ Exports values are assumed to remain permanently at the lower level, but the current account as a share of GDP is assumed to return to its baseline level after tl
an offsetting adjustment in import levels).
4/ Includes official and private transfers and FDI.
5/ Depreciation is defined as percentage decline in dollar/local currency rate, such that it never exceeds 100 percent.
6/ Applies to all stress scenarios except for A2 (less favorable financing) in which the terms on all new financing are as specified in footnote 2.

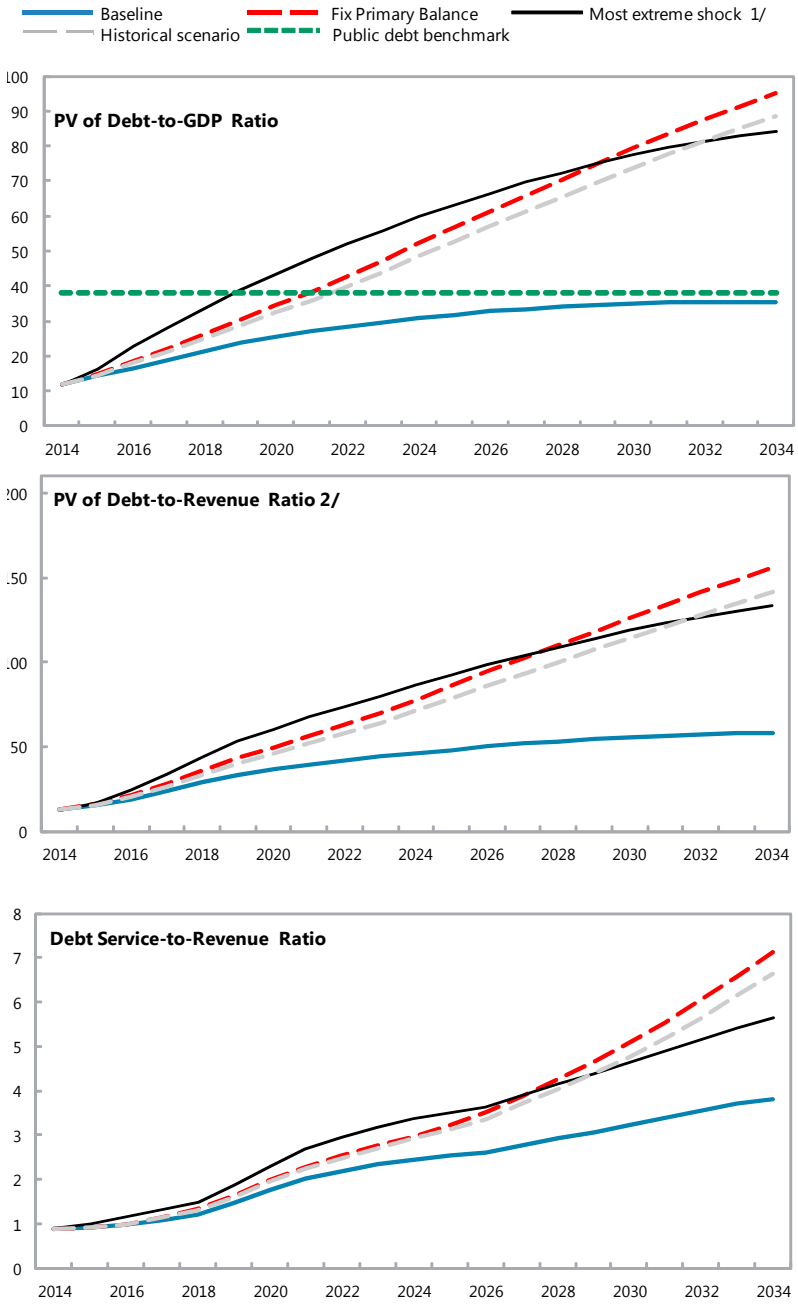
Figure 3. Kiribati High Fishing License Fee and RERF Stabilization Scenario: Indicators of Public and Publicly Guaranteed External Debt under Alternatives Scenarios, 2014–34 1/



Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio on or before 2024. In figure b. it corresponds to a Terms shock; in c. to a Exports shock; in d. to a Terms shock; in e. to a Terms shock and in figure f. to a Terms shock

Figure 4. Kiribati Fishing License Scenario: Indicators of Public Debt Under Alternative Scenarios, 2014–34 1/



Sources: Country authorities; and staff estimates and projections.
1/ The most extreme stress test is the test that yields the highest ratio on or before 2024.
2/ Revenues are defined inclusive of grants.

Table 4. Kiribati: Public Sector Debt Sustainability Framework, High Fishing License Fees and Stabilization RERF Scenario, 2011–2034

(In percent of GDP, unless otherwise indicated)

	Actual					Estimate	Projections								
	2011	2012	2013	Average 5/	Standard Deviation 5/	2014	2015	2016	2017	2018	2019	2014-19 Average	2024	2034	2020-34 Average
Public sector debt 1/	29.2	11.6	13.3			15.9	19.9	24.1	28.4	33.2	37.8		53.3	62.3	
of which: foreign-currency denominated	8.4	8.0	8.6			11.4	15.6	20.1	24.6	29.6	34.3		50.5	60.5	
Change in public sector debt	-2.9	-17.5	1.7			2.6	4.0	4.2	4.3	4.8	4.5		2.4	-0.3	
Identified debt-creating flows	20.4	6.2	-9.4			15.7	14.2	12.7	12.5	12.2	11.4		6.5	3.2	
Primary deficit	19.1	6.3	-10.9	9.9	9.4	15.6	14.3	12.9	12.8	12.6	11.7	13.3	7.9	5.8	7.7
Revenue and grants	62.0	90.4	112.9			93.5	93.5	88.0	79.8	73.3	70.6		66.7	60.9	
of which: grants	25.0	36.4	43.0			44.8	43.2	38.4	30.8	24.7	22.3		20.9	19.5	
Primary (noninterest) expenditure	81.2	96.7	102.0			109.1	107.7	100.9	92.6	85.9	82.3		74.6	66.7	
Automatic debt dynamics	1.3	-0.1	1.4			0.1	0.0	-0.1	-0.3	-0.4	-0.3		-1.3	-2.0	
Contribution from interest rate/growth differential	1.3	-0.1	0.1			0.0	-0.1	-0.2	-0.4	-0.5	-0.5		-1.1	-1.6	
of which: contribution from average real interest rate	2.1	0.7	0.4			0.3	0.3	0.2	0.2	0.1	0.2		-0.1	-0.5	
of which: contribution from real GDP growth	-0.9	-0.8	-0.3			-0.4	-0.4	-0.5	-0.6	-0.6	-0.7		-0.9	-1.2	
Contribution from real exchange rate depreciation	0.0	0.0	1.3			0.1	0.1	0.1	0.1	0.1	0.2		...	...	
Other identified debt-creating flows	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	-0.7	
Privatization receipts (negative)	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	-0.7	
Recognition of implicit or contingent liabilities	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Debt relief (HIPC and other)	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Other (specify, e.g. bank recapitalization)	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Residual, including asset changes 6/	-23.3	-23.7	11.1			-13.1	-10.3	-8.5	-8.2	-7.4	-6.8		-4.2	-3.5	
Other Sustainability Indicators															
PV of public sector debt	...	...	10.1			11.8	14.1	16.6	18.9	21.4	23.7		30.8	35.2	
of which: foreign-currency denominated	...	...	5.4			7.3	9.9	12.6	15.1	17.7	20.2		28.0	33.4	
of which: external	...	...	5.4			7.3	9.9	12.6	15.1	17.7	20.2		28.0	33.4	
PV of contingent liabilities (not included in public sector debt)	...	...	...			...	...	...	...	...	...		...	...	
Gross financing need 2/	21.5	7.0	-10.0			16.4	15.1	13.7	13.6	13.5	12.7		9.5	8.2	
PV of public sector debt-to-revenue and grants ratio (in percent)	...	...	9.0			12.6	15.1	18.9	23.7	29.2	33.6		46.2	57.8	
PV of public sector debt-to-revenue ratio (in percent)	...	...	14.5			24.1	28.1	33.5	38.5	44.0	49.2		67.2	85.1	
of which: external 3/	...	...	7.7			15.0	19.7	25.3	30.7	36.5	41.9		61.0	80.7	
Debt service-to-revenue and grants ratio (in percent) 4/	3.7	0.7	0.7			0.9	0.9	1.0	1.1	1.2	1.5		2.5	3.8	
Debt service-to-revenue ratio (in percent) 4/	6.3	1.2	1.2			1.7	1.7	1.7	1.8	1.8	2.2		3.6	5.6	
Primary deficit that stabilizes the debt-to-GDP ratio	22.0	23.9	-12.6			13.0	10.3	8.6	8.4	7.8	7.1		5.5	6.1	
Key macroeconomic and fiscal assumptions															
Real GDP growth (in percent)	2.7	2.8	2.9	1.6	3.2	3.0	2.7	2.5	2.4	2.3	2.1	2.5	1.9	1.9	1.9
Average nominal interest rate on forex debt (in percent)	0.8	0.9	1.2	0.9	0.1	1.1	1.1	1.1	1.0	1.0	1.5	1.1	1.1	0.9	1.1
Average real interest rate on domestic debt (in percent)	10.7	3.5	12.8	10.0	4.8	8.6	8.7	8.9	9.0	9.1	9.3	8.9	8.2	7.0	7.5
Real exchange rate depreciation (in percent, + indicates depreciation)	0.0	-0.2	17.2	0.3	13.6	1.2	...	...	...	...	...	...	...	...	...
Inflation rate (GDP deflator, in percent)	-0.8	-1.7	0.8	0.8	2.9	2.5	2.5	2.5	2.5	2.5	2.5	2.5	2.5	2.5	2.5
Growth of real primary spending (deflated by GDP deflator, in percent)	0.7	22.6	8.5	4.5	8.5	10.1	1.4	-4.0	-6.0	-5.1	-2.2	-1.0	0.1	0.8	0.5
Grant element of new external borrowing (in percent)	...	...	...	...	...	36.9	40.0	43.8	49.1	51.7	51.7	45.5	54.7	54.0	...

Sources: Country authorities; and staff estimates and projections.

1/ [Indicate coverage of public sector, e.g., general government or nonfinancial public sector. Also whether net or gross debt is used.]

2/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period.

3/ Revenues excluding grants.

4/ Debt service is defined as the sum of interest and amortization of medium and long-term debt.

5/ Historical averages and standard deviations are generally derived over the past 10 years, subject to data availability.

6/ Includes RERF withdrawns and budget supports not included in grants.

Table 5. Kiribati: External Debt Sustainability Framework, Baseline Scenario, 2011–34 1/

(In percent of GDP, unless otherwise indicated)

	Actual				Historical 6/ Average	Standard 6/ Deviation	Projections									
	2010	2011	2012	2013			2014	2015	2016	2017	2018	2019	2014-2019 Average	2024	2034	2020-2034 Average
External debt (nominal) 1/	**11.3**	**8.4**	**8.0**	**8.6**			**11.4**	**15.6**	**20.1**	**24.6**	**29.6**	**34.3**		**50.5**	**60.5**	
of which: public and publicly guaranteed (PPG)	11.3	8.4	8.0	8.6			11.4	15.6	20.1	24.6	29.6	34.3		50.5	60.5	
Change in external debt	1.5	-2.9	-0.4	0.7			2.8	4.2	4.4	4.5	5.0	4.7		2.5	-0.2	
Identified net debt-creating flows	15.4	30.6	25.4	22.5			42.9	43.1	38.9	30.5	24.5	20.7		15.4	10.9	
Non-interest current account deficit	**16.8**	**32.2**	**26.2**	**27.3**	**24.3**	**6.8**	**43.7**	**43.9**	**39.7**	**31.3**	**25.4**	**21.5**		**16.4**	**12.7**	15.7
Deficit in balance of goods and services	50.9	65.4	65.0	49.3			67.8	65.9	60.6	53.3	46.2	41.6		37.0	33.7	
Exports	36.3	29.7	45.3	61.0			43.0	42.3	41.8	41.3	40.9	40.5		38.2	34.2	
Imports	87.1	95.1	110.2	110.3			110.8	108.2	102.4	94.6	87.1	82.1		75.2	68.0	
Net current transfers (negative = inflow)	-18.7	-16.8	-23.6	-7.5	-19.8	6.2	-11.0	-8.8	-8.3	-7.2	-6.6	-6.1		-8.8	-8.8	-8.8
of which: official	-20.6	-18.8	-25.6	-9.8			-13.3	-11.2	-10.7	-9.6	-9.0	-8.6		-11.2	-11.2	
Other current account flows (negative = net inflow)	-15.4	-16.4	-15.2	-14.5			-13.0	-13.1	-12.6	-14.8	-14.3	-14.0		-11.7	-12.2	
Net FDI (negative = inflow)	**0.1**	**-0.2**	**-0.8**	**-5.1**	**-0.8**	**1.5**	**-0.7**	**-0.7**	**-0.6**	**-0.6**	**-0.6**	**-0.5**		**-0.7**	**-1.2**	-0.9
Endogenous debt dynamics 2/	**-1.5**	**-1.4**	**0.0**	**0.3**			**-0.2**	**-0.2**	**-0.2**	**-0.3**	**-0.3**	**-0.2**		**-0.3**	**-0.6**	
Contribution from nominal interest rate	0.1	0.1	0.1	0.1			0.1	0.1	0.2	0.2	0.2	0.4		0.5	0.5	
Contribution from real GDP growth	0.0	-0.3	-0.2	-0.2			-0.3	-0.3	-0.4	-0.5	-0.5	-0.6		-0.9	-1.1	
Contribution from price and exchange rate changes	-1.6	-1.2	0.1	0.5			...	...	...	...	...	...		...	...	
Residual (3-4) 3/	**-13.9**	**-33.5**	**-25.9**	**-21.9**			**-40.0**	**-38.9**	**-34.4**	**-25.9**	**-19.5**	**-16.0**		**-12.9**	**-11.1**	
of which: exceptional financing	0.0	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
PV of external debt 4/	...	...	...	5.4			7.3	9.9	12.6	15.1	17.7	20.2		28.0	33.4	
In percent of exports	...	...	...	8.9			17.0	23.4	30.1	36.5	43.4	49.9		73.3	97.4	
PV of PPG external debt	**...**	**...**	**...**	**5.4**			**7.3**	**9.9**	**12.6**	**15.1**	**17.7**	**20.2**		**28.0**	**33.4**	
In percent of exports	**...**	**...**	**...**	**8.9**			**17.0**	**23.4**	**30.1**	**36.5**	**43.4**	**49.9**		**73.3**	**97.4**	
In percent of government revenues	**...**	**...**	**...**	**7.7**			**15.0**	**19.7**	**25.3**	**30.7**	**36.5**	**41.9**		**61.0**	**80.7**	
Debt service-to-exports ratio (in percent)	**0.9**	**1.0**	**0.7**	**0.5**			**0.8**	**0.9**	**0.9**	**1.0**	**1.1**	**1.5**		**3.5**	**6.3**	
PPG debt service-to-exports ratio (in percent)	**0.9**	**1.0**	**0.7**	**0.5**			**0.8**	**0.9**	**0.9**	**1.0**	**1.1**	**1.5**		**3.5**	**6.3**	
PPG debt service-to-revenue ratio (in percent)	**0.7**	**0.8**	**0.6**	**0.5**			**0.7**	**0.7**	**0.8**	**0.9**	**0.9**	**1.3**		**2.9**	**5.2**	
Total gross financing need (Millions of U.S. dollars)	26.0	55.8	45.1	38.2			71.2	74.2	69.8	57.1	48.1	42.4		41.5	51.2	
Non-interest current account deficit that stabilizes debt ratio	15.3	35.1	26.7	26.6			40.9	39.7	35.3	26.8	20.4	16.7		13.9	12.9	
Key macroeconomic assumptions																
Real GDP growth (in percent)	-0.5	2.7	2.8	2.9	1.6	3.2	3.0	2.7	2.5	2.4	2.3	2.1	2.5	1.9	1.9	1.9
GDP deflator in US dollar terms (change in percent)	19.4	11.4	-1.4	-5.7	5.2	7.8	-6.1	0.9	1.2	1.3	1.5	1.2	0.0	2.5	2.5	2.5
Effective interest rate (percent) 5/	0.8	0.8	0.9	1.2	0.8	0.2	1.1	1.1	1.1	1.0	1.0	1.5	1.1	1.1	0.9	1.1
Growth of exports of G&S (US dollar terms, in percent)	32.7	-6.2	54.3	30.8	13.7	23.0	-31.8	2.0	2.4	2.6	2.8	2.5	-3.3	3.2	3.4	3.2
Growth of imports of G&S (US dollar terms, in percent)	5.6	25.0	17.5	-2.9	9.1	16.7	-2.8	1.2	-1.8	-4.1	-4.4	-2.6	-2.4	2.8	3.4	3.1
Grant element of new public sector borrowing (in percent)	...	...	...	...	...	...	36.9	40.0	43.8	49.1	51.7	51.7	45.5	54.7	54.0	54.4
Government revenues (excluding grants, in percent of GDP)	47.8	37.0	54.0	69.9			48.7	50.3	49.6	49.1	48.6	48.3		45.8	41.3	44.5
Aid flows (in Millions of US dollars) 7/	37.3	43.2	63.7	73.0			79.0	81.7	77.1	66.4	58.5	55.4		63.7	88.4	
of which: Grants	37.3	43.2	63.7	73.0			73.5	73.5	67.9	56.4	47.0	43.9		50.7	73.4	
of which: Concessional loans	0.0	0.0	0.0	0.0			5.5	8.2	9.2	10.0	11.5	11.5		13.0	15.0	
Grant-equivalent financing (in percent of GDP) 8/	...	...	...	...			46.0	45.1	40.7	33.4	27.8	25.3		23.8	21.7	23.1
Grant-equivalent financing (in percent of external financing) 8/	...	...	...	...			95.6	94.0	93.3	92.3	90.5	90.0		90.8	92.2	91.0
Memorandum items:																
Nominal GDP (Millions of US dollars)	150.9	172.7	175.1	169.8			164.3	170.3	176.7	183.4	190.4	196.7		243.1	375.7	
Nominal dollar GDP growth	18.8	14.5	1.4	-3.0			-3.3	3.7	3.8	3.8	3.8	3.3	2.5	4.4	4.4	4.4
PV of PPG external debt (in Millions of US dollars)				8.5			11.9	16.8	22.1	27.5	33.6	39.6		68.0	125.3	
(PVt-PVt-1)/GDPt-1 (in percent)							2.0	3.0	3.1	3.1	3.3	3.2	2.9	2.5	1.3	2.2
Gross workers' remittances (Millions of US dollars)	9.9	11.0	10.8	10.2			9.3	9.5	9.5	9.5	9.5	9.4		13.7	21.2	
PV of PPG external debt (in percent of GDP)		...	...	5.1			6.9	9.4	11.9	14.3	16.9	19.3		26.5	31.6	
PV of PPG external debt (in percent of exports)		...	...	8.1			15.0	20.7	26.7	32.5	38.7	44.7		63.8	83.7	
Debt service of PPG external debt (in percent of exports)		...	...	0.5			0.7	0.8	0.8	0.9	1.0	1.4		3.0	5.4	

Sources: Country authorities; and staff estimates and projections.

1/ Includes both public and private sector external debt.

2/ Derived as [r - g - ρ(1+g)]/(1+g+ρ+gρ) times previous period debt ratio, with r = nominal interest rate; g = real GDP growth rate, and ρ = growth rate of GDP deflator in U.S. dollar terms.

3/ Includes exceptional financing; changes in gross foreign assets; and valuation adjustments. For projections also includes contribution from price and exchange rate changes.

Large residual is mostly explained by RERF changes and capital grants.

4/ Assumes that PV of private sector debt is equivalent to its face value.

5/ Current-year interest payments divided by previous period debt stock.

6/ Historical averages and standard deviations are generally derived over the past 10 years, subject to data availability.

7/ Defined as grants, concessional loans, and debt relief.

8/ Grant-equivalent financing includes grants provided directly to the government and through new borrowing (difference between the face value and the PV of new debt).